

Table 23.11 Diagonal Diamonds

Description	Identification
Single diagonal, bottom before top	Bottom forms before the top. The longest trend connects the top and bottom. Pattern looks like a diamond pushed to the right. The breakout is supposed to be downward but is actually upward most often.
Single diagonal, bottom after top	Bottom forms after the top. The longest trend in the diamond connects the top and bottom. Pattern looks like it's been pushed to the left. This configuration correctly predicts an upward breakout but not all of the time.
Two diagonal	Looks like a head-and-shoulders, top or bottom. Two lines of nearly equal length connect the top and bottom. If the bottom trendline touch comes after the top touch, the breakout direction is likely to be upward.

	Correct?	Benchmark
Single diagonal, bottom before top, down breakout	28%	26%
Single diagonal, bottom after top, up breakout	81%	74%
Two-diagonal, bottom before top, down breakout	26%	26%
Two-diagonal, bottom after top, up breakout	76%	74%